

pay it back to A. unless A., as trustee, had a power of signing a receipt for it (e).

3. **Derivative equities.** — As to persons claiming *directly* under the instrument creating the trust, or their real or personal representatives, the trustee has express notice of the rights of parties, and must regulate his conduct * accordingly. But other interests may grow out of [*345] and be *grafted upon* the original trust, as by appointment under a power or by assignment, and these the trustee cannot know except by express or implied notice subsequent to the creation of the trust. Thus, a fund is settled upon trust for A. for life, with remainder to such one or more of his children as A. shall appoint, and in default of appointment for his children equally. Here A. may exercise the power by appointing to some one child exclusively, or a child may assign his share to a stranger. In such cases the trustee must use his best endeavours to ascertain who are the persons equitably entitled, as he is always in danger of being affected by *constructive* notice. But if a trustee has no express notice and cannot be affected by constructive notice, and he pays at the proper time to the person *primâ facie* entitled under the original instrument, he cannot afterwards be made to account over again to the person claiming under the *derivative* title (a), and therefore a trustee under such circumstances is not justified in paying the fund into Court under the Trustee Relief Act (b).

[4. **Improvident cestui que trust.** — If the *cestui que trust* is *sui juris* and absolutely entitled to the trust fund, the trustees are not justified in withholding payment on the ground that the beneficiary intends to deal improvidently with the fund, and if they do so they will be liable for the costs of an action to enforce payment (c).]

(e) *Sheridan v. Joyce*, 7 Ir. Eq. Rep. 115. As to powers of trustees to sign receipts, see *ante*, pp. 293, 294.

(a) *Cothay v. Sydenham*, 2 B. C. C. 391; *Phipps v. Lovegrove*, 16 L. R. Eq. 80; *Leslie v. Baillie*, 2 Y. & C. C. C. 91. In the latter case the effect of the marriage by the opera-

tion of a *foreign law*, may be regarded as equivalent to an assignment of which the trustee had not notice.

(b) *In re Cull's Trusts*, 20 L. R. Eq. 561.

[(c) *De Burgh v. M'Clintock*, 11 L. R. Ir. 220.]